

Dominant bucket can rotate: Growth Inflation Fiscal Credit External FX Policy Wages Global

1 HOUSEHOLDS / CONSUMPTION

Growth Wages

- Track
- Real wages: cash earnings vs CPI - the binding constraint on consumption
 - Consumption Activity Index (BOJ) as the cleanest monthly read
 - Household survey spending; propensity to consume
 - Consumer confidence and inflation perceptions

2 WAGES / SHUNTO / LABOUR

Wages Inflation

- Track
- Shunto: Rengo tally rounds (Mar-Jul), SME diffusion the key test
 - MHLW monthly labour survey: base pay vs headline
 - Tightness: job-to-applicant ratio, labour shortage bankruptcies
 - Minimum wage trajectory; part-time wage pressure

3 INFLATION PIPELINE

Inflation

- Track
- Import prices > CGPI > CPI: pass-through stronger and longer (Barclays); May CGPI still rising m/m
 - Energy subsidies: mechanical CPI distortion, renewal politics
 - Food/rice: government stock releases, fresh food volatility
 - Services CPI and expectations - the BOJ's underlying test

4 BOJ POLICY / NORMALISATION

Policy

- Track
- June 16 MPM: hike expected; GS base case June + roughly semi-annual hikes after
 - Communication: Outlook Report, Summary of Opinions, speeches
 - JGB purchase taper: quarterly reduction plan, market-function checks
 - Board composition and dissent patterns

5 JGB MARKET / DEBT MGMT

Fiscal Policy

- Track
- MOF auctions: calendar, tenor mix shifts away from super-long
 - Super-long demand: lifers, pensions - structural duration bid
 - Net supply: BOJ runoff vs MOF issuance arithmetic
 - Fiscal expansion politics and the term premium

6 CORPORATE / CAPEX

Growth

- Track
- Tankan: DI levels, capex plans, price expectations
 - Profits at highs; MOF corporate survey
 - Capex: digitalisation, labour-saving, supply-chain reshoring
 - Governance reform: buybacks, cross-shareholding unwind

7 BANKING / CREDIT

Credit

- Track
- Rate hikes restore deposit margins - profitability tailwind
 - Regional banks: JGB duration risk, unrealised losses
 - Loan growth and corporate funding demand
 - Deposit betas as policy rate rises

8 EXTERNAL / CURRENT ACCOUNT

External

- Track
- Energy import bill: top-tier LNG importer - direct Hormuz exposure
 - Trade balance swings with energy prices and yen
 - Income surplus dominance - structural CA support
 - Inbound tourism as a services export engine

9 JPY / FLOWS

FX

- Track
- USDJPY ~159: intervention-risk zone; MOF rhetoric ladder
 - Carry compression as BOJ hikes vs Fed path
 - NISA retail outflows - structural JPY supply
 - Weekly MOF securities flows; lifer hedging behaviour

10 POLITICS / FISCAL POLICY

Fiscal

- Track
- Energy subsidy renewals - CPI mechanics + fiscal cost
 - Supplementary budgets; stimulus packages
 - Election calendar and coalition arithmetic
 - Tax debates: income tax thresholds, consumption tax politics

11 DEMOGRAPHICS / STRUCTURAL

Growth

- Track
- Labour shortage economics: participation ceilings reached
 - Immigration expansion: foreign worker stock growth
 - Productivity and digitalisation push
 - Regional decline; social security cost trajectory

12 GLOBAL / ENERGY / GEOPOLITICS

Global

- Track
- Hormuz: LNG/oil price and supply-security exposure - first-order for Japan
 - US rates and the Warsh Fed: JGB beta, FX channel
 - China demand: exports, supply chains, tourism
 - Chip supply chains; economic security policy

COMMON BLIND SPOTS

1. Real wages decide the cycle - nominal wage prints flatter the consumer 2. Energy subsidies mechanically distort CPI - track ex-subsidy measures and renewal politics 3. Import-price pass-through to CPI is now stronger and longer than pre-2022 norms (Barclays) 4. Super-long JGB demand is structural (lifers/pensions), not cyclical - supply changes dominate 5. Politics can reverse subsidy and fiscal settings between MPMs - policy is two-handed

BACK

Use: start with the dominant bucket, then scan adjacent clusters for second-round effects and hidden offsets. Blue links = public-domain data sources (clickable). A4 landscape - duplex long-edge.

3 INFLATION PIPELINE	
Pipeline	Import price index (yen basis); CGPI by stage; pass-through lags lengthening
Energy	Electricity/gas subsidy schedule; gasoline trigger; ex-subsidy core
Food	Rice prices; food ex-fresh momentum; eating-out prices
Underlying	Core-core; trimmed mean; services CPI; expectations (Tankan, swaps)

Data
[stat.go.jp](https://www.stat.go.jp) CPI
[BOJ CGPI](https://www.boj.or.jp/en/press/2022/02/22022201.htm)

6 CORPORATE / CAPEX	
Tankan	Large mfg/non-mfg DI; capex plans by size; employment DI
Profits	MOF hojin kigyō; margins vs import costs; pricing power
Capex	Machinery orders; software investment; construction
Governance	TSE reform follow-through; buyback run-rate; activist activity

Data

[BOJ Tankan](#) [METI production](#)

9 JPY / FLOWS	
Level	USDJPY vs real effective; intervention history and triggers
Carry	Rate differentials 2y/10y; vol-adjusted carry; basis
Retail	NISA monthly inflows to foreign funds; toshin flows
Institutional	Lifer hedge ratios; pension rebalancing; MOF weekly data

Data

[MOF intervention](#) [MOF weekly flows](#)

12 GLOBAL / ENERGY / GEOPOLITICS	
Energy	JKM/Brent path; strategic reserves; utility procurement
US	UST-JGB beta; Fed transition communication; tariff policy
China	Export volumes to CN; inbound tourists; rare-earth dependencies
Chips	Semicon equipment export controls; Rapidus/TSMC Kumamoto buildout

Data

[EIA](#)

[customs energy imports](#)